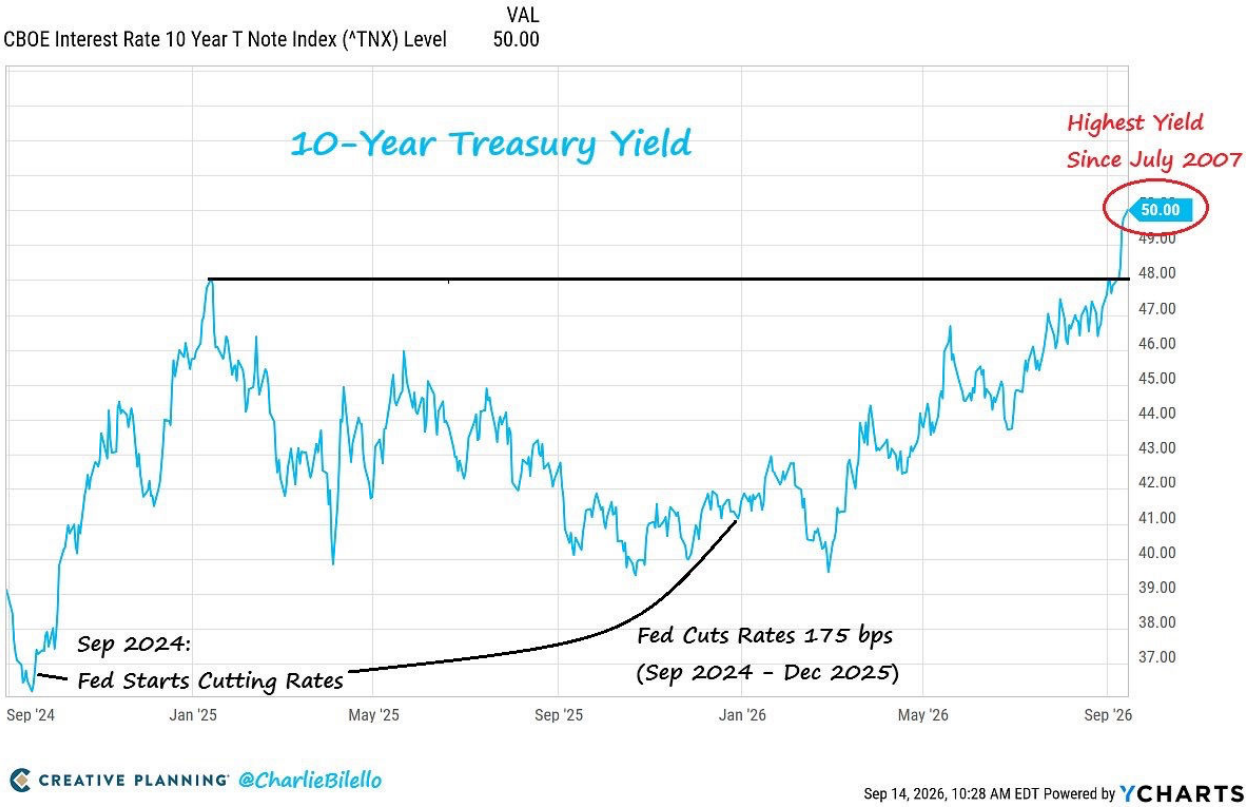
Wedgewood Partners Third Quarter 2026 Client Letter

Bad Moon Rising

I see the bad moon a-risin'
I see trouble on the way
I see earthquakes and lightnin'
I see bad times today

Creedence Clearwater Revival



Review and Outlook

	3Q	YTD	1-Year	3-Year	5-Year
Wedgewood Composite Net	2.5	5.1	3.2	16.4	8.4
Standard & Poor's 500 Index	2.3	12.8	15.7	22.9	13.8
Russell 1000 Growth Index	0.9	6.3	7.5	24.3	13.7
Russell 1000 Value Index	2.6	19.3	23.8	20.0	11.9

	10-Year	15-Year	20-Year	25-Year	30-Year
Wedgewood Composite Net	14.0	13.7	11.5	10.8	11.8
Standard & Poor's 500 Index	15.3	15.7	11.2	10.4	10.3
Russell 1000 Growth Index	18.2	17.6	13.4	11.6	10.7
Russell 1000 Value Index	11.4	13.0	8.6	9.0	9.5[1]

Q3 Top Contributors	Avg. Wgt.	Contribution to Return
Meta Platforms	8.34	2.37
Microsoft	7.50	2.34
Apple	7.60	1.12
Motorola Solutions	5.42	0.40
Amazon	7.99	0.40

Q3 Bottom Contributors		
United Rentals	3.32	-0.36
Taiwan Semiconductor Manufacturing	8.25	-0.38
Hermès	2.70	-0.48
Toll Brothers	2.49	-0.50
Old Dominion Freight Line	4.24	-0.86

[1] Portfolio returns and contribution figures are calculated net of fees. Contribution-to -return calculations are preliminary. The holdings identified do not represent all securities purchased, sold, or recommended. Returns are presented net of fees and include the reinvestment of all income. "Net (actual)" returns are calculated using actual management fees and are reduced by all fees and transaction costs incurred. Past performance does not guarantee future results. Additional calculation information is available upon request.

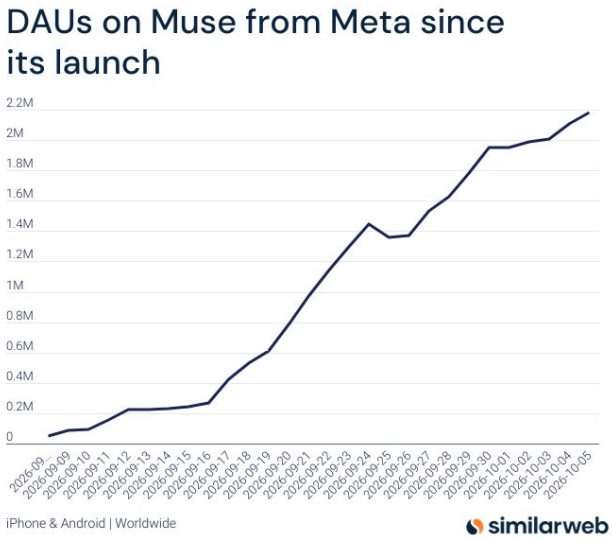
Top performance contributors for the third quarter include Meta Platforms, Microsoft, Apple, Motorola Solutions, and Amazon.

Top underperformers in the third quarter include United Rentals, Taiwan Semiconductor Manufacturing, Hermès, Toll Brothers, and Old Dominion Freight Line.

We were busy again this quarter. We bought TJX Companies and sold Copart. We increased our positions in Amazon and Hermès. We trimmed our position in Meta Platforms.

Microsoft was a top contributor to third-quarter outperformance. The Company grew operating income by about 18%, and we estimate its average gross asset base grew in the low 20s, leading to continued healthy returns on invested capital of almost 30%. These returns are virtually unchanged from a year ago and even from two years ago, when the AI buildout was in its infancy. This is strong financial evidence that Microsoft's capital allocation has delivered exceptional shareholder returns so far. For example, Microsoft has generated an incremental $35 billion in gross cash flow on $115 billion in average incremental assets over the past 12 months. The market has struggled to grasp this value creation, as the Company is rationally reinvesting that gross cash flow into higher-earning assets, causing free cash flow to dip for now. On the one hand, markets seem to love private AI labs hemorrhaging cash; on the other, markets penalize public companies when free cash flow declines, even when they can capture very high, obvious investment returns. This mispricing may be mostly technical, as the flood of "AI" stock issuance is forcing investors (including index huggers) to sell the next best thing (Microsoft) to fund expensive, less-profitable IPOs. We continue to view Microsoft as an excellent business that has executed extremely well during this AI buildout, and we expect more upside as it reaps returns on capex.

Meta Platforms was another standout performer in the portfolio this quarter. Revenues grew 28%, and the Company launched a slew of AI products and updates that the market viewed positively. Meta has a long history of launching massive, objectively successful products. Yet the market often ignores them or even penalizes them. While Meta's Metaverse investments are a clear reason to be skeptical that management will bat 1.000, they are hardly a reason to discount every clear and obvious home run, or even grand slam. More recently, the Company's Threads app, launched just 3 years ago, has over 500 million monthly active users. This quarter, Meta also rolled out its Muse Agent, which users can set on autopilot to handle mundane but productive tasks like lowering phone bills or renewing license plate tags. The Muse Agent works in tandem with a private virtual machine (we estimate its value at $500 to $1,000) that every user gets for free and that maintains the user's privacy and security throughout the process.



While it is still early days, the Company's advancements on the LLM frontier, along with its long history of working with encryption, especially through WhatsApp, have made the rollout and execution of Muse Agent among the best since OpenAI launched ChatGPT. Over the next several years, we think Meta has plenty more AI products and investments that will generate returns on par with those of past years.

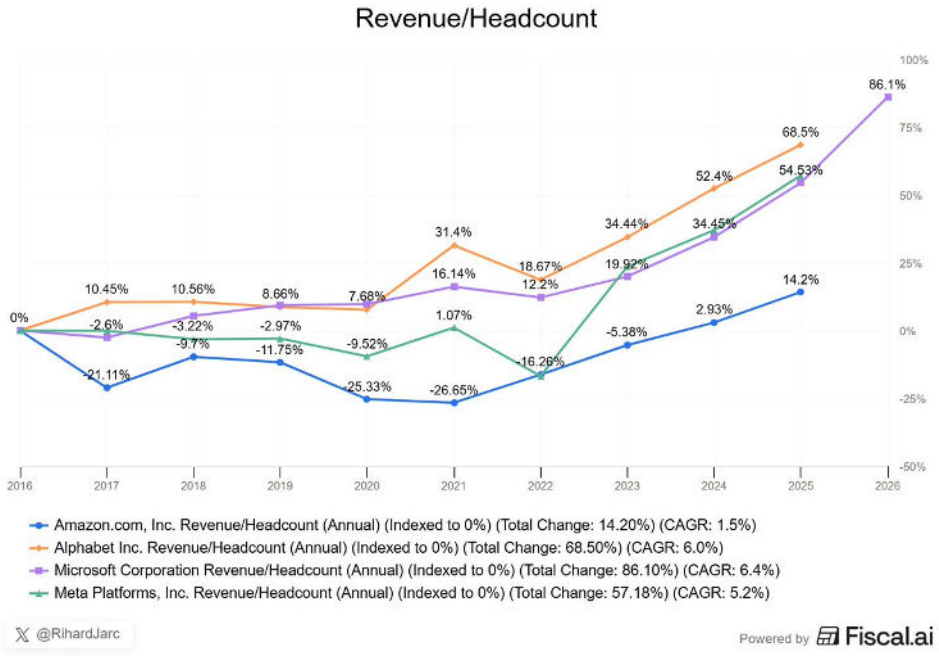
Apple also contributed significantly to the quarter's performance. The Company grew revenue by 16% and posted even stronger gross margin dollar growth as Apple navigated input pricing pressures well. Adjusted for tariff charges and refunds, the Company grew earnings per share in the high teens. Apple continues to invest heavily in its silicon and hardware ecosystem, spending over $40 billion on research and development (R&D) over the trailing 12 months. That compares with some of the largest chip developers, including Nvidia, Broadcom, Marvell, ARM, and AMD, which collectively spent about the same on hardware R&D during the past 12 months. As we have seen over the past 3 years, hardware systems and silicon are the most important elements of any AI strategy. We think the market underestimates Apple's long-term ability to differentiate its AI ecosystem through deep software and hardware integration.

Motorola also contributed to our quarter's performance. Revenues grew 13%, and margin expansion drove a healthy 24% increase in earnings per share. Despite this strong performance, the market still underappreciates the stock. The Company is in the early innings of refreshing its more than 40 LMR (Land Mobile Radio) statewide networks, which should drive strong results for its core business well into the next decade. In addition, its recently acquired drone communications developer, Silvus, has doubled its revenue since joining the Motorola umbrella just over a year ago. Further, the Company's backlog grew by

double digits to a record, with 95% coming from government customers. The Company's reliable execution in key areas of mission-critical communications infrastructure will continue to make Motorola an attractive double-digit grower for years to come.

Amazon also contributed positively to portfolio performance during the quarter. Amazon Web Services (AWS) accelerated revenue growth to 37% (compared to 17% a year ago), and rapid margin expansion drove a 63% increase in operating income for Amazon's largest segment (by profit). The Company's backlog of around $500 billion is up more than 2X from last year and +37% from 90 days ago. Given this demand signal from customers, along with Amazon's strong execution and accelerating profitability, we think it is prudent for Amazon to target doubling its circa 2025 AWS capacity by 2027. Amazon's retail business also continues to execute well. The shift in its promotional Prime Days/Weeks tends to make growth lumpy, but the steadier advertising business accelerated to +26% growth and generated over $75 billion in high-margin revenue over the past 12 months. Amazon continues to deliver high returns on capital, so its accelerated capex spending is more than justified by the gross cash flows management can keep compounding for us.

Lastly, our portfolio positions in Alphabet, Amazon, Meta, and Microsoft collectively are driving higher, more consistent employee productivity in the emerging AI age.



Old Dominion detracted from portfolio performance in the 3rd quarter despite reporting 10% revenue growth and 32% earnings-per-share growth. As we mentioned in previous letters, the stock had already discounted some of this earnings recovery, so the market mostly "sold the news" this quarter. However, we think the recovery in LTL activity is nascent, and, more importantly, the industry has undergone a secular shift toward better capacity management, particularly after the Covid-19 shock and the ensuing multi-year downturn drove consolidation and tighter regulations. For instance, Old Dominion has better managed the spike in diesel prices, passing fuel costs through to customers who demand OD's high level of service and availability. Further, the Company is the best operator in the LTL industry, driving incremental gains in direct operating-cost efficiency on top of industry-wide benefits from capacity rationalization. While most of the "non-AI" portion of the US Industrial economy remains stagnant, we think Old Dominion can continue to drive double-digit earnings growth against this backdrop. With further recovery in the rest of the US Industrial economy, we think there could be substantial upside.

Toll Brothers detracted from portfolio performance in the quarter. Cyclical headwinds over the past few years have driven earnings lower. However, Toll is one of the few homebuilders still growing net orders while maintaining healthy margins and low cancellation rates. It also has a land pipeline that can sustain double-digit growth as demand stabilizes. Toll Brothers' core customers are affluent buyers, a quarter of whom pay cash and often build to order. As a result, the Company's buyers are generally less sensitive to interest rates than much of the entry-level housing market, which continues to face affordability pressures. Despite the continued back-up in mortgage rates, we continue to hold, as we think U.S. housing has substantial pent-up demand and chronic undersupply.

Hermès shares underperformed as the market continued to price in potential headwinds from the Middle East conflict. Revenue grew 7%, led by 14% growth in the US and Americas, while Middle East sales declined but recovered somewhat from the previous quarter. Currency-adjusted profitability has held up well, as relatively consistent demand and limited supply have kept pricing durable. The Company has a long history of posting attractive growth despite short-term macro headwinds. Yet the stock recently traded toward the low end of its long-term range for its forward earnings multiple, so we added to our positions.

Taiwan Semiconductor detracted from performance after shares pulled back from a torrid rally. Semiconductors had become a very "crowded trade" in the second quarter, and much of the underperformance in the third quarter reflected the unwinding of some of these extremes. We have trimmed Taiwan Semi several times during this multi-year rally, as we limit our positions to 10% of portfolios. The stock is the best-performing holding year to date, as most of semiconductors have soared on unprecedented AI-related capex spending.

TSMC's currency-neutral revenues jumped 36% (up 44% year over year), and gross margin dollars grew even faster, as high utilization and flawless execution make it the linchpin of the global AI buildout.

United Rentals shares detracted from performance during the quarter, but the Company posted solid results, with rental revenue and adjusted EBITDA both accelerating to 13% growth over last year. Most of the growth came from the Company's Specialty rentals segment, which saw revenue up 25%, while general rentals rose 7%. Large projects, especially in data centers, power, infrastructure, and LNG, drove demand. Meanwhile, local projects, which tend to be smaller (though higher margin), have seen more muted growth, in the low single-digits. Any easing in interest rates or a recovery in residential construction markets would help drive activity in those local markets and improve the Company's margins.

Company Commentaries

Motorola Solutions

Wedgewood has held Motorola Solutions since we first purchased it in May 2019, and we would like to provide an update. As a reminder, Motorola Solutions is the dominant market leader in its core Land Mobile Radio (LMR) business: providing infrastructure, handsets, and related software and services for customized, highly resilient, secure networks for global police and emergency services, a variety of government and military applications, and other commercial and public safety applications where security and reliability are paramount. The company has continued to succeed by leveraging its entrenched position in these mission-critical networks to layer in faster-growing, higher-margin software, service, security, and video products. While Motorola faces credible competition in many of these ancillary product lines—unlike its dominance in the LMR business—it remains the only player capable of fully integrating its entire service offering with its core LMR network backbone.

The company's three primary technology segments consist of:

Mission Critical Networks: Includes the core LMR business and its complete offering of secure, ultra-reliable network infrastructure and devices designed to operate in the harshest conditions

Video: Fixed and mobile cameras and related security systems

Command Center: A complete emergency control center suite designed to acquire emergency data and dispatch through incident resolution.

All three technology segments have grown in unison, with each expected to grow over 10% in 2026.

Roughly 75% of the company's revenue comes from public safety and defense customers (first responders, public services, critical infrastructure, and national security). By comparison, 25% of the business comes from corporate customers (utilities, medical facilities, schools, manufacturing, retail, and large event facilities such as convention centers and stadiums). Within the largest public safety and defense segment, North American state and local governments account for over 60% of revenue.

Perhaps the most remarkable thing about Motorola Solutions during our holding period is how fundamentally unremarkable it has been. The thesis, execution, and results have remained consistent. Aside from a brief COVID period that disrupted the company's usual sales cycle and caused supply chain issues—similar to most companies worldwide—the company and its results have been remarkably predictable.

Through acquisitions and internal development, Motorola continues to increase the share of higher-margin, faster-growing products in its portfolio while also expanding its core LMR business. As of the end of 2025, roughly half of the company's revenue comes from video, software, unmanned systems, and recurring services, all segments that are growing faster than the core LMR business and at higher margins. When we first spoke to you about these numbers in 2020, 46% of revenues were outside the company's LMR core; only LMR's continued growth of roughly 3-5% per year keeps these other businesses from taking up a larger share of the company's total results.

Aside from the brief COVID disruptions, we've seen steady improvement in the company's business fundamentals, with consistent revenue growth in the high single-digit range and steady improvements in profitability.

Motorola Solutions, Inc. (MSI)
Profitability Measures, Last 10 Fiscal Years

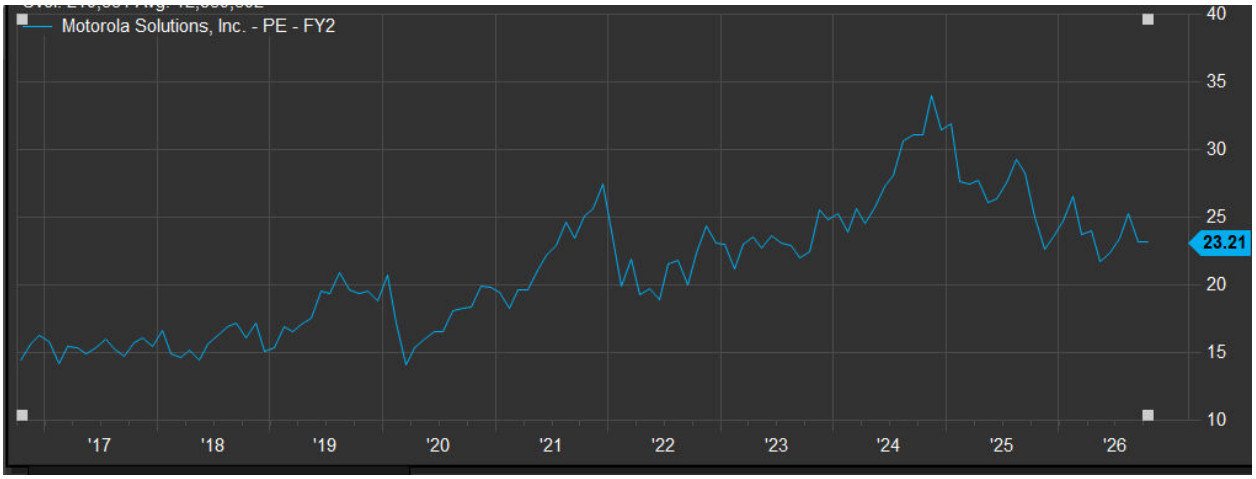
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Revenue growth	6.0%	5.7%	15.1%	7.4%	-6.0%	10.2%	11.5%	9.5%	8.4%	8.0%
EBIT margin (1)	20.6%	20.9%	19.1%	20.9%	19.4%	21.1%	19.6%	23.9%	24.9%	25.5%
CF ROIC (2)	16.5%	6.7%	22.2%	19.1%	18.0%	19.5%	20.9%	21.1%	22.7%	17.0%

(1) Earnings Before interest and Taxes / Revenue
(2) Cash Flow-based Return on Invested Capital - internal WWP measure
sources: company filings and earnings reports

As shown above, the company's EBIT, or operating margin, has improved by nearly 600bp over the past ten years, while our internal measure of profitability, a cash flow-based return

on all capital invested in the business, has improved by a similar amount over that period, before a blip in 2025. Please note that 2025's CF ROIC was artificially depressed by a larger-than-usual acquisition during the year (see discussion on Silvus Technologies, below). Accounting methodology adds all of the acquisition's assets to the ROIC denominator, while the company had only a partial year of cash flows from the acquisition in the numerator. We expect this metric to rebound as the company benefits from a full year of cash flows from Silvus.

The only major change to our thesis is that the company is no longer operating under the market's radar. As we noted multiple times earlier in our holding period, we believed Motorola Solutions was a great large-cap growth company hiding in plain sight. Nobody, including financial news sources, seemed to notice it, and the company was often confused with the Motorola consumer mobile phone business it separated from in 2011. As of our letter two years ago, FactSet, our primary investment news provider, was still flagging MSI with press releases about Motorola consumer phones. During most of our holding period, none of our concentrated large-cap growth peers owned this company. However, one of them (EDITORS: it's Jensen, are we allowed to cite them?) has finally initiated a position since we last wrote about Motorola Solutions two years ago. The rest of the market, however, certainly began to notice this company since we first purchased the stock; as you can see in the chart below, which shows the stock's Price/Earnings ratio based on one-year forward earnings estimates, the valuation multiple moved from the mid-to-high teens to a peak in the 30s, before settling more recently in the low 20s.



Source: FactSet Data Systems, Inc.

Interesting New Business: the Silvus Technologies acquisition:

A newer chapter in the Motorola Solutions story is the August 2025 acquisition of Silvus Technologies. Silvus has developed networking technology and related hardware that enable the rapid deployment of a highly secure network for voice, data, and video without fixed infrastructure, anywhere, including locations with no other networks. This technology originated in advanced military research, and the networks are designed to resist detection and to withstand attempts to intercept or jam communications.

Ukraine has used this technology in its war with Russia, particularly in its drone operations. Silvus has performed exceptionally well in this difficult setting, proving its value and driving demand across a variety of end markets. Beyond obvious potential customers in US and international defense, the current state of geopolitical conflict—two prominent "hot" wars and what many might argue is a developing new cold war—provides clear opportunities for Silvus and Motorola. Additionally, customers in the intelligence community, law enforcement, and enterprise have quickly recognized use cases for Silvus's technologies, including securing political rallies, large sporting events, wildfire management, unmanned border control, and more.

This business is somewhat unusual for Motorola because it takes the company more directly into contested, sometimes even battlefield, settings, although these are not Silvus's only applications. Much of the Silvus customer base is already familiar to Motorola. Certainly, at its core, Motorola is a good fit for Silvus's highly resilient, highly secure dedicated communication network technologies.

Early results from Silvus have been nothing short of spectacular, with revenue expected to grow roughly 30% to $875 million in 2026, up from $675 million in 2025—a significant upgrade from the $475 million the company expected for 2025 when it purchased Silvus. In its first year of ownership, Motorola has added manufacturing and salesforce capacity to help Silvus capitalize on the massive demand for its technology. Furthermore, Silvus generates significantly higher profit margins than the overall Motorola Solutions business.

While there is some opportunity for sales synergies between legacy Motorola and legacy Silvus customers, the company seems to view this primarily as a stand-alone Silvus opportunity: they have purchased an attractive business similar to their core business, and Motorola's significantly greater financial resources will allow Silvus to invest in research & development, production, and sales, so it may better pursue its growth opportunities. However, we believe the most important long-term strategic aspect of this acquisition is that it gives Motorola access to highly advanced networking technology, which will allow it to continue strengthening its core LMR business over time, the foundation of the company.

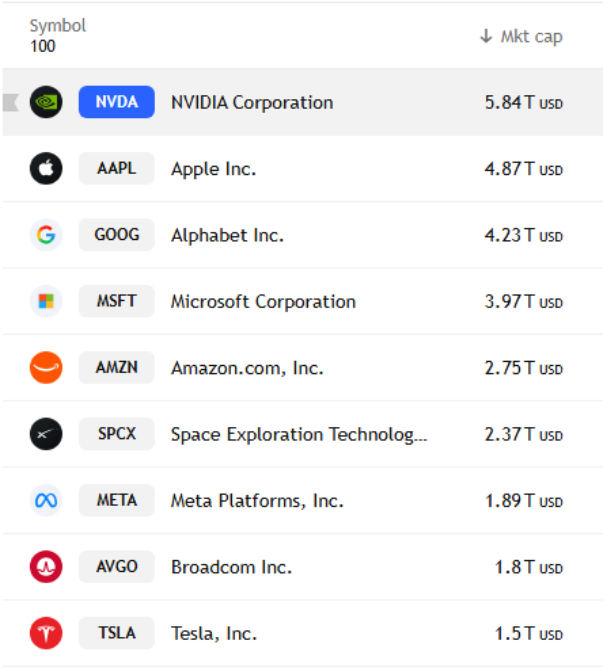
We would highlight that while Silvus is getting a lot of attention right now, as a newer business tied to major geopolitical news and delivering strong results, it remains a small part of Motorola's business. It accounts for only a small portion of the company's overall growth.

For example, based on the company's most recent annual guidance from its Q2 conference call, Silvus revenues will comprise about 7% of MSI's total revenue in 2026. Even at 30%, Silvus will account for only about 200bp of Motorola's expected 11% revenue growth. So, Silvus is an interesting addition to MSI's portfolio and provides a small boost to the company's overall growth rate; however, it remains a minor portion of the business. We will be curious to see how this portion of Motorola's business develops over the next several years.

After our initial purchase in 2019, we built Motorola's stock into a significant position in our portfolio over the next couple of years, particularly taking advantage of the COVID disruption to add to our positions. Once we believed the market was finally noticing this business and that the stock deserved a premium valuation, we spent three years between 2021 and 2024 taking profits and trimming our position. Still, the market provides occasional opportunities in this stock; a roughly 25% collapse last autumn, driven by concerns that a federal government shutdown might temporarily delay funding for MSI's customers, gave us our most recent opportunity to add to this position. We remain big believers in the business model and maintain a core position in our portfolios.

Bad Moon Rising

On October 5th, the yield on the 10-year U.S. Treasury Note reached 5.35% - up from 4.00% in late February and the highest since the summer of 2007. At the same time, the 30-year U.S. Treasury Bond reached a 24-year high of 5.70%. This sharp rise in benchmark Treasury yields has crushed countless interest-rate-sensitive stocks. No surprise there, but the damage goes further. To wit, the equal-weighted S&P 500 Index has now underperformed the market-cap-weighted S&P 500 Index by the largest margin in over *24 years*. Furthermore, Morgan Stanley reports that since June 1, 89% of stocks have fallen more than 10%; 54% more than 20%; 29% more than 30%; and 7% more than 50%. J.P. Morgan reports that only 30% of stocks are outperforming the S&P 500 Index, the lowest figure since 1991. However, on the same October 5, the NASDAQ 100 Index hit an all-time high, led by a growing list of *trillion*-dollar technology companies, and the S&P 500 Index hit an all-time high the next day.



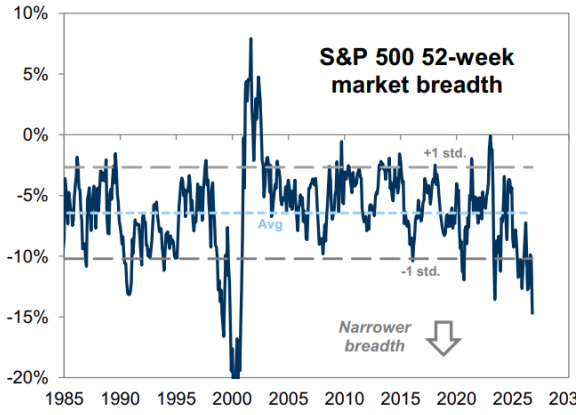
Symbol 100		↓ Mkt cap
NVDA	NVIDIA Corporation	5.84 T USD
AAPL	Apple Inc.	4.87 T USD
GOOG	Alphabet Inc.	4.23 T USD
MSFT	Microsoft Corporation	3.97 T USD
AMZN	Amazon.com, Inc.	2.75 T USD
SPCX	Space Exploration Technolog...	2.37 T USD
META	Meta Platforms, Inc.	1.89 T USD
AVGO	Broadcom Inc.	1.8 T USD
TSLA	Tesla, Inc.	1.5 T USD

Source: Mike Zaccardi

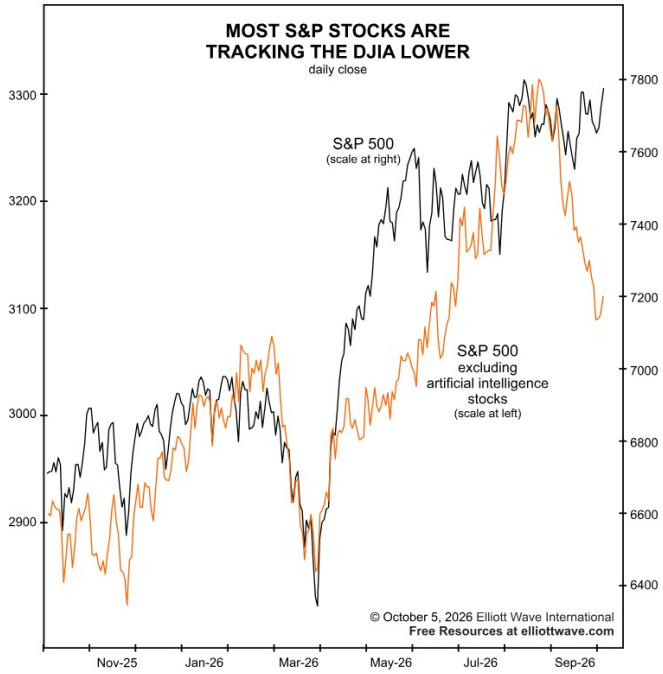


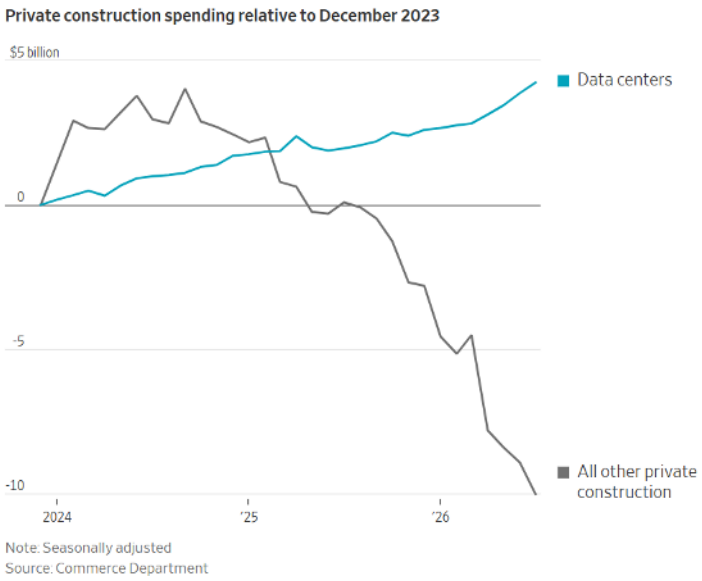
Heightened inflation expectations, plus war-related oil price surges that have become sticky at elevated levels of late, are not the makings of bullish stock market tailwinds - quite the opposite. The behemoth AI trade once again leads the performance charts, seemingly immune to traditional monetary headwinds across the yield curve – even though, by any relevant measure, the specific AI ecosystem and the broader AI economy, given the multi-year time frames required to build new semiconductor fabrication plants and AI-related data centers, are the definition of long-duration assets. Add the inevitable cost-push inflation surges during the buildout of AI infrastructure, and the AI ecosystem would seem to face higher cost-of-capital rates, too. Yet very few AI stocks are punished as such. So it goes…

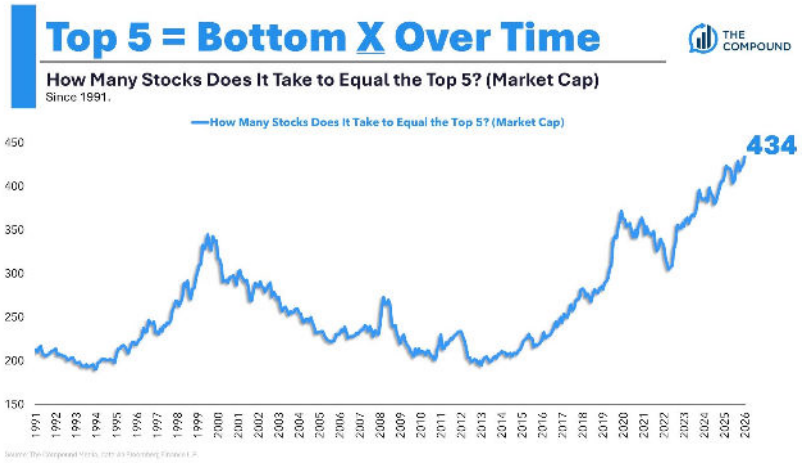
Exhibit 6: Market breadth has recently plunged
market breadth calculated as the difference between the aggregate index and median stock respective distances from 52-week highs



Source: Goldman Sachs Global Investment Research


MOST S&P STOCKS ARE
TRACKING THE DJIA LOWER
daily close
S&P 500
(scale at right)
S&P 500
excluding
artificial intelligence
stocks
(scale at left)
3300
3200
3100
3000
2900
7800
7600
7400
7200
7000
6800
6600
6400
Nov-25
Jan-26
Mar-26
May-26
Jul-26
Sep-26
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Private construction spending relative to December 2023
$5 billion
0
-5
-10
2024
'25
'26
Data centers
All other private construction
Note: Seasonally adjusted
Source: Commerce Department



While most stocks have struggled amid the kissing cousins of heightened inflation expectations, war-related increases in oil and gas prices, and higher interest rates, we will continue to shop for new ideas. Our latest buys, Toll Brothers, Hermès, and TJX Companies, are evidence of our recent shopping.

October 2026

David A. Rolfe, CFA
Chief Investment Officer

Michael X. Quigley, CFA
Senior Portfolio Manager

Christopher T. Jersan, CFA
Portfolio Manager

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